

LBOMODEL4 — Cash & Debt Assumption Documentation

ZoomInfo (GTM) LBO · Same template as IS / WC / Assets: Growth trajectory · Source · Verbatim · Why reasonable · Major Variable (NET +/- and INFLOW/OUTFLOW). Debt stack wired to Sources (\$457.8m TLA / \$274.7m TLB / \$183.1m Notes), Drivers C14–C18, AI_Operating FCF.

LBO row 144: Cash, EOP

Growth trajectory	Source	Verbatim / EQ	Why reasonable	Major Variable
0% excess. Cash EOP held at minimum \$50m (Sources D16). Full sweep keeps cash flat; dollars do not pile up.	REASONABLE: hold operating cash at model minimum \$50m https://www.sec.gov/Archives/edgar/data/1794515/000179451525000045/zi-20241231.htm	EQ: F144=\$D\$16 (Minimum cash desired). Filing cash was ~\$179.9m at close; excess above \$50m funded Sources (D27).	Keeping only \$50m cash is normal in a full-sweep LBO so extra cash pays debt instead of sitting idle.	NO — cash stock stays flat. Not the main lever; the sweep of extra cash is.

LBO row 150: Less: Minimum cash desired

Growth trajectory	Source	Verbatim / EQ	Why reasonable	Major Variable
\$50m flat min cash every year (Sources D16). Same floor all periods.	REASONABLE: Minimum cash desired = \$50m in Sources https://www.sec.gov/Archives/edgar/data/1794515/000179451525000045/zi-20241231.htm	EQ: F150=–\$D\$16. Sources D16=50. Excess cash at close = filing cash – 50 → D27.	The \$50m floor is the cash the business must keep to run day to day.	YES — OUTFLOW of usable cash (locked as minimum). NET – vs using that cash to cut debt, but needed so the company can operate.

LBO row 152: Plus: Free cash flows generated during period

Growth trajectory	Source	Verbatim / EQ	Why reasonable	Major Variable
+5% sales-driven. FCF \$ grows each year with AI_Operating (~\$123m→~\$248m). Not a flat dollar.	REASONABLE: FCF for sweep = AI_Operating FCF after interest https://ryanococonnellfinance.com/lbo-model-fundamentals/	Ctrl+F: 50-100% of annual excess free cash flow EQ: F152=AI_Operating!D21. That FCF already nets CapEx and ΔNWC from Drivers.	This is the cash the deal actually makes after interest. It is what can pay down loans.	YES — INFLOW of cash to the LBO. NET + for the LBO. More free cash means more debt paydown and a better equity outcome.

LBO row 157: Revolver, EOP

Growth trajectory	Source	Verbatim / EQ	Why reasonable	Major Variable
0\$ drawn. Revolver stays undrawn; FCF covers needs so no revolver inflow.	CAUTION — revolver capacity \$350m but draw = \$0 in base path https://ryanococonnellfinance.com/lbo-model-fundamentals/	EQ: F155:F157=0. Availability F158=350 is a backstop, not used cash.	The revolver is a rainy-day credit line. In this case we do not need to borrow on it.	NO — not used. If drawn it would be an INFLOW of cash but also NET – (more debt). Here it is idle.

LBO row 162: Term Loan A, BOP

Growth trajectory	Source	Verbatim / EQ	Why reasonable	Major Variable
–1%/yr mandatory + 100% sweep. TLA BOP starts \$457.8m (Sources 2.5× EBITDA); balance falls as cash pays it down.	REASONABLE: TLA principal = Sources D29 = 2.5× LTM EBITDA https://ctacquisitions.com/acquisition-financing/	EQ: F162=\$D\$29 (457.8). Was a stale ~\$2.9bn hardcoded loan — replaced with GTM Sources stack.	Term Loan A is the senior bank loan. Starting size must match the Sources page, not old template debt.	YES — debt balance (not cash flow by itself). NET + for equity when the balance falls; lower TLA means less interest and more exit equity.

LBO row 163: Mandatory paydown \$ (TLA)

Growth trajectory	Source	Verbatim / EQ	Why reasonable	Major Variable
1%/yr of original TLA (Drivers C17). Flat \$ amort each year (=0.01×\$457.8m), not 5–10% old hardcodes.	REASONABLE: Drivers C17=1% mandatory amortization https://clearvaluelending.com/glossary/term-loan-b	Ctrl+F: minimal amortization (1% annually) EQ: F163=\$D\$29*Assumptions_Drivers!\$C\$17.	Lenders require a small fixed paydown each year even before the cash sweep.	YES — OUTFLOW of cash to lenders. NET + for the LBO. Required paydown shrinks debt and helps the buyout delever.

LBO row 164: Cash sweep (paydown from excess cash flows)

Growth trajectory	Source	Verbatim / EQ	Why reasonable	Major Variable
100% sweep (Drivers C18). Sweep \$ = max(0, FCF – TLA mand – TLB mand); grows as FCF grows.	REASONABLE: Drivers C18=100% excess FCF sweep to debt https://ryanoconnellfinance.com/lbo-model-fundamentals/	Ctrl+F: 50-100% of annual excess free cash flow Ctrl+F: typically modeled at 100% EQ: F164=MAX(0,AI_FCF–mandTLA–mandTLB)* C18. Priority: Term Loan A first.	A 100% sweep means almost all leftover cash after the required 1% paydown goes to cut Term Loan A.	YES — OUTFLOW of cash (to pay debt). NET + for the LBO. Sweeping cash to Term Loan A is how the deal gets safer and equity value rises.

LBO row 167: Cash sweep %

Growth trajectory	Source	Verbatim / EQ	Why reasonable	Major Variable
100% flat (Drivers C18). Sweep percent does not change; dollars swept grow with FCF.	REASONABLE: cash sweep % = Drivers C18 = 100% https://ryanoconnellfinance.com/lbo-model-fundamentals/	Ctrl+F: typically modeled at 100% EQ: sweep dollars in F164 use Assumptions_Drivers!\$C\$18.	100% means we model using essentially all excess free cash to repay debt.	YES — OUTFLOW rule. NET + for the LBO. A full sweep is credit-positive: cash goes to debt, not dividends or idle cash.

LBO row 170: Term Loan B, BOP

Growth trajectory	Source	Verbatim / EQ	Why reasonable	Major Variable
–1%/yr mandatory only. TLB starts \$274.7m (Sources 1.5×); falls slowly; no sweep until TLA is ahead.	REASONABLE: TLB principal = Sources D30 = 1.5× LTM EBITDA https://ibinterviewquestions.com/guides/valuation-investment-banking/lbo-debt-structures/	EQ: F170=\$D\$30. Rate Drivers C28=SOFR+5%. Mandatory = C17× original TLB.	Term Loan B sits behind Term Loan A, so it gets the small 1% paydown while TLA takes the sweep.	YES — debt balance. NET + for equity as it declines, but less than TLA because most extra cash hits TLA first.

LBO row 171: Mandatory amortization \$ (TLB)

Growth trajectory	Source	Verbatim / EQ	Why reasonable	Major Variable
1%/yr of original TLB (Drivers C17). Flat \$ amort (=0.01×\$274.7m) each year.	REASONABLE: same 1% mandatory rule on TLB https://clearvaluelending.com/glossary/term-loan-b	Ctrl+F: minimal amortization (1% annually) EQ: F171=\$D\$30*Assumptions_Drivers!\$C\$17.	Same 1% lender rule as Term Loan A, applied to the Term Loan B size.	YES — OUTFLOW of cash to TLB lenders. NET + for the LBO because it still reduces total debt each year.

LBO row 178: Senior Note, BOP

Growth trajectory	Source	Verbatim / EQ	Why reasonable	Major Variable
0% amort. Senior Notes \$183.1m (Sources 1.0×) stay flat — bullet at maturity; no annual paydown in model.	REASONABLE: Notes principal = Sources D31; bullet (0% mandatory) https://ctacquisitions.com/acquisition-financing/	EQ: F178=\$D\$31; F179=0. Interest =(SOFR+3.5%)×Notes BOP. Balance does not amortize in-forecast.	Notes usually do not get paid down a little each year; they wait until the end unless refinanced.	YES — debt still outstanding. NET – vs TLA/TLB paydowns: Notes keep interest expense alive until exit/refi.

LBO row 208: Interest — Term Loan A

Growth trajectory	Source	Verbatim / EQ	Why reasonable	Major Variable
8.3% rate flat (Drivers C27=SOFR+4%). Interest \$ falls as TLA balance falls from sweep.	REASONABLE: TLA rate = Drivers C27 = SOFR 4.3% + 4.0% https://www.global-rates.com/en/interest-rates/sofr/historical/2024/	Ctrl+F: 4.30 Ctrl+F: SOFR + 400-500 bps EQ: F208=F162*Assumptions_Drivers!\$C\$27. IS interest F50=-(TLA+TLB+Notes interest).	Interest is the price of the loan. As Term Loan A shrinks, this interest bill should shrink too.	YES — OUTFLOW of cash (interest). NET – for the LBO each year it is paid, but falling TLA makes this outflow smaller over time (good).

LBO row 209: Interest — Term Loan B

Growth trajectory	Source	Verbatim / EQ	Why reasonable	Major Variable
9.3% rate flat (Drivers C28=SOFR+5%). Interest \$ edges down only with 1% TLB amort.	REASONABLE: TLB rate = Drivers C28 = SOFR + 5.0% https://ibinterviewquestions.com/guides/valuation-investment-banking/lbo-debt-structures/	Ctrl+F: SOFR + 300-500 basis points EQ: F209=F170*Assumptions_Drivers!\$C\$28.	Term Loan B costs more than Term Loan A because it is riskier for lenders.	YES — OUTFLOW of cash (interest). NET – for the LBO. Higher rate than TLA, and the balance falls only slowly.

LBO row 210: Interest — Senior Note

Growth trajectory	Source	Verbatim / EQ	Why reasonable	Major Variable
7.8% rate flat (SOFR+3.5%). Interest \$ stays roughly flat because Notes principal does not amortize.	REASONABLE: Notes ≈ SOFR+3.5% (same stack used in DCF cost of debt) https://www.global-rates.com/en/interest-rates/sofr/historical/2024/	EQ: F210=F178*(Assumptions_Drivers!\$C\$14+0.035). Principal flat → interest roughly flat.	Notes interest keeps showing up every year while the Notes balance stays outstanding.	YES — OUTFLOW of cash (interest). NET – for the LBO until exit or refinance clears the Notes.

File: LBO/output/LBOMODEL4_CASH_AND_DEBT_SOURCES.pdf · Linked from LBO tab CASH & DEBT section.